FOREWORD

A review of sixty years of writings by Elliott, Bolton, Collins, Frost and Prechter prompts the observation that while Elliott Wave expectations from this point forward may not come to pass, the thematic progression in long term outlook over the years has certainly been consistent. Most economists, analysts and forecasters change their views every six months, six weeks or six days. Each breaking news item has to be "factored in" to a new analysis. Market patterns, in contrast, often hint at what the next news item will be. While wave structures can at times be difficult to interpret, while scenarios must sometimes be abandoned when price behavior forces a change in the ordering of probabilities for various outcomes, overall the Wave Principle provides a stable perspective. Despite the historical consistency of that perspective, it must be understood, as *Elliott Wave Principle* stated, that "we will be the first to discard our predictions if the waves tell us we must." Any approach to assessing the future necessarily delivers only the probable, not the certain. Any changes in market reality must be acknowledged no matter what one hopes, wishes or thought in the past. The analysis in this book, then, is not a stone tablet of future history. It is simply the best set of conclusions given data available up to today.

The probabilistic aspect of forecasting does not mean that no approach can have value. While many people profess to understand that fact, most act as if only professed certainty and forecasting reflective of omniscience validate an analytic approach, as if either periods of error or the acknowledgment of uncertainty prove it invalid. Upon the first inaccuracy in anticipating market events, the average investor is off looking for another method, one that will not fail to describe the future with unerring precision. As *The Elliott Wave Theorist* says in every issue, "Be advised that the market service that never makes mistakes does not exist. Long term success demands a recognition of this fact." Believing that certainty of outlook and perfection in outcome are required for successful investing is truly a prescription for disaster. It makes one susceptible to the siren song of charlatans who promise miracles on the one hand, and on the other, the paralyzing doubt engendered by those who dismiss and deride valuable methods on the basis of